HOW TAX LIABILITY COMES DOWN

ANNUAL TAXABLE INCOME*	TAX AT CURRENT NTR** RATES	TAX AT PROPOSED NTR RATES	SAVINGS
₹12 lakh#	₹80,000	**0**	₹80,000
₹13 lakh	₹1,00,000	**₹75,000**	₹25,000
₹17 lakh	₹2,00,000	**₹1,40,000**	₹60,000
₹21 lakh	₹3,20,000	**₹2,25,000**	₹95,000
₹25 lakh	₹4,40,000	**₹3,30,000**	₹1,10,000
₹30 lakh	₹5,90,000	**₹4,80,000**	₹1,10,000
₹40 lakh	₹8,90,000	**₹7,80,000**	₹1,10,000
₹50 lakh	₹11,90,000	**₹10,80,000**	₹1,10,000

**After excluding Rs 75,000 standard deduction; **New tax regime*
#Govt has proposed nil tax on taxable income up to Rs 12 lakh

the tax burden...and put more money in the pocket of urban consumers," says a report by HSBC Global. "Our back-of-the-envelope calculations show this can leave up to 7 per cent more money in the hands of tax-paying individuals." This extra money is now expected to boost consumption in the country. Budget 2025 marks a directional shift towards growth based on consumption rather than government capex. "Reduction in income taxes is likely to jumpstart discretionary spending in sectors like automobiles, FMCG, travel and tourism, quick commerce and affordable housing. Expect increased investments and M&As in these sectors," says Himanshu Sinha, partner and head of tax practice, Trilegal. ■



scheme UDAN got an allocation of Rs 540 crore, up from Rs 502 crore (revised estimate: Rs 800 crore) in FY25.

THE BENEFITS

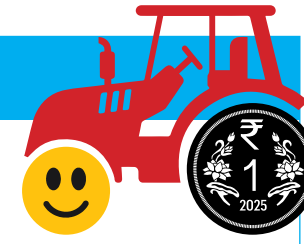
A national switch from diesel to electric traction doesn't just modernise rail travel, it cuts operational costs for both passenger services and freight operations. For safety, the allocation is Rs 1,16,514 crore, from last year's Rs 1,08,000 crore. Around Rs 6,800 crore of that will go to signalling and telecom upgrades (13 per cent hike), critical for Kavach integration. And the plan to roll out 200 new Vande Bharat trains promises a jump in speed and comfort for passengers. Then there's freight, which is projected to hit 1.6 billion tonnes by March 2025—it could ease bottlenecks for manufacturers and exporters alike.

The plan to roll out 200 Vande Bharat trains promises a jump in speed and comfort for passengers

Similarly, modern highways will help farmers access more markets and small companies reach more customers. The plan to build 10,000 km of national highways ensures a boost to the construction industry and resultant creation of thousands of manhours of jobs.

Meanwhile, UDAN aims to bring air travel to 40 million additional flyers over the next decade by linking 120 new locations—an initiative as much about social progress as economic numbers. ■

AGRICULTURE



Big Push for Pulses

The farm unions may still be protesting for a legal framework for MSP (minimum support price), but the budget did not relent on that. Instead, its focus continued to be on capacity-building, helping farmers improve yields, and smoothening their access to the markets. The budget set a series of missions into motion for this, among them the PM Dhan-Dhaanya Krishi Yojana (PMDDKY), Mission for Aatmanirbharta in Pulses, Comprehensive Programme for Vegetables and Fruits, National Mission for High Yielding Seeds and the Pradhan Mantri Matsya Sampada Yojana (to help fishermen usher in a sustainable Blue Revolution). Allocations may be down by 2.5 per cent (compared to the Rs 1.41 lakh crore for 2024-25), but the Centre is hoping a realignment of the big programmes will compensate for that.

Allocations are down by 2.5%, but the hope is a realignment of the big agri missions will cover for that

100 **No. of 'low-productivity' districts to be covered under the Prime Minister Dhan-Dhanya Krishi Yojana**

WHERE THE MONEY IS GOING...

- **Rs 1,000 crore:** Mission for Atmanirbharta in Pulses
- **Rs 500 crore:** Mission for Vegetables and Fruits
- **Rs 100 crore:** Makhana Board
- **Rs 100 crore:** Mission on Hybrid Seeds
- **Rs 500 crore:** Cotton Technology Mission

THE BENEFITS

The programmes will directly impact 200 million farmers (including horticulturists and fishermen). The PMDDKY alone intends to hand-hold some 10.7 million farmers in 100 aspirational districts with low productivity. A larger role is also envisioned for FPOs (farmer-producer organisations) in opening up avenues for farmers to get easier access to markets. The Mission for Aatmanirbharta in Pulses, meanwhile, wants to replicate the success in chana and moong in three other pulses—tur, urad and masoor, imports of which have gone through the roof. ■

Icons by TANMOY CHAKRABORTY